January 2025 Paper 02

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Question 1

Rachel Coore is the owner of Good Care Beauty Salon. The salon consists of two departments, nails and hair. The nails department comprises five technicians and is supervised by Julian Jones. The hair department comprises seven stylists and is supervised by Kayleigh Scott. Rachel Coore manages the business and is assisted by an accounting clerk, Maxine Stamp.

1(a) Organizational chart

Use the information in the scenario above to complete the following organizational chart for Good Care Beauty Salon. The title and name of employees must be stated in EACH case. An example has been provided for you. (3 marks)

The completed organizational chart for Good Care Beauty Salon would be set out as follows:

- At the top of the chart, the Manager, Rachel Coore, would be shown.
- Reporting directly to the Manager would be the Accounting Clerk, Maxine Stamp.
- Below the Manager, the Nails Department would be headed by the Supervisor, Julian Jones, with five Nail Technicians reporting to him.
- Also below the Manager, the Hair Department would be headed by the Supervisor, Kayleigh Scott, with seven Stylists reporting to her.

1(b) Span of control and sources of conflict

(i) State the span of control of the manager of Good Care Beauty Salon. (1 mark); (ii) Identify TWO potential sources of conflict that may occur between the manager and employees of Good Care Beauty Salon. (2 marks)

(b)(i) Span of control

The span of control of the manager, Rachel Coore, is three, since she has the two department supervisors (Julian Jones and Kayleigh Scott) and the accounting clerk (Maxine Stamp) reporting directly to her.

(b)(ii) TWO potential sources of conflict

- Disputes about wages, working hours or other conditions of employment, where employees feel that they are being underpaid or overworked.
- Disagreements about how work is assigned and supervised, where employees feel that the manager is showing favouritism or being too harsh in giving instructions.

1(c) Mediation and arbitration

Describe EACH of the following strategies used in the resolution of conflict in an organization: (i) Mediation (2 marks); (ii) Arbitration (2 marks)

Mediation

Mediation is a strategy in which an independent third party, called a mediator, is invited to help the two sides in a dispute to talk to each other and reach a solution that they can both accept. The mediator does not make a decision for the parties but instead listens to each side, helps them to understand each other's points and suggests possible compromises.

Arbitration

Arbitration is a strategy in which both sides in the dispute agree to put their case before an independent third party, called an arbitrator, who then makes a decision after hearing the evidence. Unlike a mediator, the arbitrator's decision is usually binding on both parties, which means that they must accept and follow the decision.

1(d) Characteristics of a good leader

List FOUR characteristics of a good leader. (4 marks)

Four characteristics of a good leader are:

- Honesty and integrity, which build trust between the leader and the workers.
- Good communication skills, so that the leader can clearly explain ideas, give instructions and listen to feedback.
- Confidence and decisiveness, so that the leader can make firm decisions even when situations are difficult.
- Fairness and the ability to motivate others, so that workers feel respected, valued and willing to give their best effort.

1(e) Democratic versus authoritarian leadership

Explain TWO benefits of a manager adopting a democratic style of leadership rather than an authoritarian style of leadership. (6 marks)

Higher worker motivation and job satisfaction

In a democratic style of leadership, the manager invites workers to share their ideas and to take part in making decisions that affect their jobs. When workers feel that their opinions matter and that they have some control over their work, they become more committed to the business, take greater pride in what they do and are willing to put in extra effort. In contrast, an authoritarian leader simply gives orders, which can leave workers feeling unimportant and unmotivated.

Better decisions and stronger team work

When a manager listens to the views of the workers before making a decision, the business gains from the different ideas, skills and experiences of the team, and the final decision is usually better than one made by the manager alone. Workers who help to shape a decision are also more likely to support it and work

hard to make it succeed, which builds a stronger team spirit. An authoritarian leader, who decides everything alone, often misses good ideas and may face quiet resistance from staff who disagree with the decision.

Question 2

2(a) Entrepreneur

(i) Define the term 'entrepreneur'. (2 marks); (ii) State TWO characteristics of a typical entrepreneur. (2 marks)

(a)(i) Definition of entrepreneur

An entrepreneur is a person who organises the other factors of production, such as land, labour and capital, in order to produce goods or services for profit. The entrepreneur takes the risk of starting and running the business and is rewarded by any profit that is made or bears the loss if the business fails.

(a)(ii) TWO characteristics of a typical entrepreneur

- A willingness to take calculated risks, since starting and running a business always involves the chance of losing money.
- Creativity and innovation, since entrepreneurs are constantly looking for new ideas, products and ways of solving problems.

2(b) Functions of an entrepreneur

Describe EACH of the following functions of an entrepreneur in a business: (i) Conceptualizing (2 marks); (ii) Bearing of risks (2 marks); (iii) Accessing resources (2 marks)

Conceptualizing

Conceptualizing is the function in which the entrepreneur comes up with the original business idea and develops it into a clear plan. The entrepreneur identifies a need in the market, thinks about what kind of product or service could meet that need and works out how the business will operate, who the customers will be and how it will earn a profit.

Bearing of risks

Bearing of risks is the function in which the entrepreneur accepts the chance of losing the money and effort invested in the business. Risks include the possibility that the product will not sell, that costs will rise faster than expected or that competitors will take away customers. The entrepreneur takes on these risks personally, in the hope of earning a profit if the business succeeds.

Accessing resources

Accessing resources is the function in which the entrepreneur finds and brings together everything the business needs to operate. This includes raising the necessary capital from savings, loans or investors, finding a suitable location, buying or renting equipment, hiring workers and securing supplies of raw materials.

2(c) Entrepreneurship and Caribbean economies

Outline TWO roles of entrepreneurship in the development of Caribbean economies. (4 marks)

Job creation and reduction of unemployment

When entrepreneurs start new businesses they hire workers to help them produce goods and services, which creates jobs in the local economy. As more Caribbean people start their own businesses, the level of unemployment falls, household incomes rise and dependence on the government for support is reduced.

Increased output, innovation and foreign exchange earnings

Entrepreneurs add to the goods and services produced in the country, often by introducing new products and improved ways of doing things. Some Caribbean entrepreneurs sell their products to other countries, which brings in foreign exchange that the region needs to pay for imports such as fuel, food and machinery.

2(d) Karim's restaurant and government regulations

Karim wants to open a restaurant to sell fried chicken in the capital city of San Leo. Explain how Karim could comply with TWO government regulations or policies for the protection of the environment and/or public health when establishing and operating the business. (6 marks)

Public health and food safety regulations

Karim could comply by ensuring that his kitchen is built and operated according to the standards set by the Ministry of Health, with proper sinks, refrigeration, clean surfaces and safe storage of raw chicken. He should make sure that all his cooks have valid food handlers' permits, that they wear hairnets, gloves and clean uniforms, and that he passes regular inspections from public health officers, so that customers are not put at risk of food poisoning.

Environmental and waste disposal regulations

Karim could comply with environmental regulations by signing up for an approved garbage collection service to remove food waste daily and by installing a grease trap to stop used cooking oil from blocking the public drains and polluting water courses. He should also make sure that smoke and odours from the fryers are vented properly, and that the noise from any music or generators is kept within the limits set by the Environmental Health Department.

Question 3

Caribbean economies benefit significantly from the contribution of cottage industries.

3(a) Cottage industries

(i) State THREE characteristics of cottage industries. (3 marks); (ii) List THREE types of goods or services that are often produced within cottage industries. (3 marks)

(a)(i) THREE characteristics of cottage industries

- They are small-scale operations, often run from the home of the owner with only a few workers, who are usually members of the family.
- They use simple tools and traditional methods rather than large modern machinery, and require very little capital to set up.

- They produce goods or services mainly for the local market, often based on local skills and raw materials such as straw, clay or fruit.

(a)(ii) THREE types of goods or services from cottage industries

- Handmade craft items such as straw bags, baskets and wooden carvings.
- Locally produced foods and drinks such as jams, jellies, pepper sauces and homemade fruit juices.
- Personal services such as dressmaking, hairdressing and small bakery products.

3(b) Advantages and disadvantages of small business operations

(i) State TWO advantages of small business operations. (2 marks); (ii) State TWO disadvantages of small business operations. (2 marks)

(b)(i) TWO advantages

- They require a small amount of capital to start, so it is easier for ordinary people to become their own bosses.
- Decisions can be made quickly because there are usually few layers of management, which allows the business to respond rapidly to changes in the market.

(b)(ii) TWO disadvantages

- They often have limited access to finance, since banks are usually unwilling to lend large sums to very small firms.
- They cannot benefit from large-scale economies, so their cost per unit is often higher than that of bigger competitors, which makes it hard to keep prices low.

3(c) Jerome's juice business expansion

Jerome operates a small fruit juice manufacturing business in Spice Town. Recently, he has seen opportunities for the growth of the business and has been considering expanding. (i) State ONE way in which Jerome's business could grow internally. (1 mark); (ii) State ONE way in which Jerome's business could grow externally. (1 mark); (iii) Explain the likely effect that expansion could have on the organizational structure of Jerome's business. (3 marks)

(c)(i) ONE way to grow internally

Jerome's business could grow internally by reinvesting its profits to buy more juicing machinery and to produce a wider range of fruit juice flavours, so that more output is sold from the same business.

(c)(ii) ONE way to grow externally

Jerome's business could grow externally by merging with, or taking over, another small fruit juice maker in a nearby town, so that the two firms become one larger business.

(c)(iii) Effect on organizational structure

As the business grows, Jerome will not be able to manage every part of it on his own, so he will need to add more layers of management. New departments such as production, sales, finance and human resources may have to be set up, each with its own supervisor. The structure will move from a simple flat one, where most workers report directly to Jerome, to a taller hierarchy with several levels of authority.

This means clearer job titles, more written rules and procedures, and longer lines of communication between workers and the owner.

3(d) Linkage industries

(i) Define the term 'linkage industries'. (2 marks); (ii) Explain ONE backward or ONE forward linkage in which Jerome's business could engage. (3 marks)

(d)(i) Definition of linkage industries

Linkage industries are industries that are connected to one another in a chain of production, where the output of one industry is used as an input by another industry, or where one industry creates the demand that supports another. Linkages can be backward, going back to suppliers of raw materials, or forward, going on to industries that further process or distribute the output.

(d)(ii) ONE backward or forward linkage for Jerome

A backward linkage that Jerome's business could engage in is the buying of fruit directly from local farmers in Spice Town. As his juice business grows, the farmers will sell more of their oranges, mangoes, pineapples and other fruit to him, which gives them a steady source of income and encourages them to plant more. This builds a strong link between the juice industry and local agriculture, where each industry depends on and supports the other.

Question 4

4(a) Methods of retailing

List FOUR methods of retailing. (4 marks)

Four methods of retailing are:

- Supermarkets, which are large self-service stores that sell a wide range of food and household goods at low prices.
- Department stores, which are large shops divided into sections, each selling a different range of goods such as clothing, furniture and electronics.
- Online retailing, where goods are advertised, ordered and paid for through a website or mobile app and then delivered to the customer.
- Vending machines, which are coin or card-operated machines that sell small items such as drinks and snacks without the need for a salesperson.

4(b) Terms of sales

Describe EACH of the following terms of sales: (i) Hire purchase (2 marks); (ii) Consignment (2 marks); (iii) Layaway (2 marks)

Hire purchase

Hire purchase is a method of buying goods in which the customer pays a deposit and then takes the item home, but pays the rest of the price in regular instalments over an agreed period of time. The seller

remains the legal owner of the item until the final instalment is paid, after which ownership passes to the buyer.

Consignment

Consignment is an arrangement in which the owner of goods, called the consignor, sends the goods to a retailer, called the consignee, who then tries to sell them to customers. The retailer only pays the consignor for the items that are actually sold and may return any unsold goods, so the risk of unsold stock remains with the consignor.

Layaway

Layaway is a way of buying goods in which the customer chooses an item, pays a deposit and then makes regular payments towards the price, while the seller keeps the item in storage. The customer only takes the item home after the full price has been paid, and ownership does not pass until the final payment is made.

4(c) Functions of consumer organizations

State FOUR functions of consumer organizations. (4 marks)

Four functions of consumer organisations are:

- Educating consumers about their rights and responsibilities through pamphlets, talks and the media.
- Investigating complaints from members of the public against businesses that have sold them faulty goods or poor services.
- Lobbying the government to pass and enforce laws that protect the interests of consumers.
- Testing products and publishing the results so that consumers know which goods are safe and good value for money.

4(d) Venus Communications Ltd and customer service

Venus Communications Ltd provides mobile phone services to the citizens of Peanut Island. The management of the company is concerned that the business is often openly criticized for its poor customer service. (i) Explain ONE way in which poor customer service is likely to affect the success of Venus Communications Ltd. (3 marks); (ii) Explain how online chats or surveys could be used by the management of Venus Communications Ltd to improve the company's customer service. (3 marks)

(d)(i) Effect of poor customer service

Poor customer service would cause many existing subscribers of Venus Communications Ltd to switch to a rival mobile phone company, since they will not put up with long waits, rude staff and unsolved problems if they can get better service elsewhere. As customers leave and complain publicly, the company's reputation on Peanut Island will fall, fewer new customers will sign up, and revenue and profits will drop. Over time, the business may also have to lay off workers and may struggle to attract investment, which threatens its long-term survival.

(d)(ii) Use of online chats or surveys

Online chats would allow customers of Venus Communications Ltd to type their questions and complaints into a chat box on the company's website or app and receive a quick reply from a customer service agent. The chat records could be reviewed by managers to identify the most common problems and to train staff on how to deal with them. Online surveys could be sent to customers after a service call or a store visit, asking them to rate the experience and to give comments. The feedback would help managers to spot weak areas, fix specific issues and measure whether customer service is improving over time.

Question 5

5(a) Business technology

Define the term 'business technology'. (2 marks)

Business technology refers to the tools, equipment, software and systems that a business uses to carry out its activities more efficiently. This includes computers, the internet, mobile devices, point-of-sale machines, accounting software and the various electronic systems used for communication, record keeping and the processing of transactions.

5(b) Standard of living and quality of life

List FOUR factors that determine a country's standard of living and/or the quality of life of its citizens. (4 marks)

Four factors that determine a country's standard of living and/or the quality of life of its citizens are:

- The level of income earned per person, often measured by GDP per capita, which shows how much people can afford to buy.
- The quality of education available to citizens, including the number of schools, teachers and the rate of literacy.
- The quality of health care services, including the availability of hospitals, doctors and medicines, and life expectancy at birth.
- The standard of housing, public utilities and infrastructure such as roads, water, electricity and internet access.

5(c) GDP and GNP

Define EACH of the following terms: (i) Gross domestic product (GDP) (2 marks); (ii) Gross national product (GNP) (2 marks)

Gross domestic product (GDP)

Gross domestic product is the total money value of all the final goods and services produced inside a country during a given period of time, usually one year. It includes the output of both citizens and foreigners producing within the borders of the country, but does not include income earned by the country's citizens working abroad.

Gross national product (GNP)

Gross national product is the total money value of all the final goods and services produced by the citizens of a country during a given period of time, usually one year, no matter where in the world they are produced. It is calculated by taking GDP, adding the income that citizens earn from abroad and subtracting the income that foreigners earn within the country.

[unclear in source - please verify against original paper] The page images available for this paper end after the GDP/GNP definitions on page 20, and the remaining parts of Question 5 (typically (d) and (e), worth around 10 marks) could not be confirmed from the OCR. Centres should refer to the original CXC booklet for those parts.